IN **yet another setback to the Adani Group, the Organised Crime and Corruption Reporting Project (OCCRP),** a global network of investigative journalists, has claimed access to exclusive documents that allegedly show how hundreds of millions of dollars were invested in publicly traded Adani stocks through Mauritius-based opaque investment funds. OCCRP relied on files from multiple tax havens, bank records and internal Adani Group emails as part of its investigation that was first shared with two prominent foreign newspaper organisations and later made public on its website on August 31.

In at least two cases—representing Adani stock holdings that at one point touched $430 million (Rs 3,558 crore)—the mysterious investors were found to have ties with the group's majority shareholders, the Adani family. The two men—Nasser Ali Shaban Ahli and Chang Chung-Ling—have long-time business connections with the family and have also served as directors and shareholders in Adani Group companies and firms associated with Vinod Adani, group chairperson Gautam Adani's elder brother, the report alleges.

The documents show that two Mauritius-based funds—Emerging India Focus Fund and the EM Resurgent Fund—had invested and traded in large volumes of shares of four Adani companies between 2013 and 2018. Through these offshore firms, the two men spent years buying and selling Adani stocks via offshore structures that obscured their involvement—and made considerable profits in the process, the report alleges. They also show that the management company in charge of their investments paid a Vinod-promoted company to advise them on their investments.

If Indian stock market regulator Sebi (Securities and Exchange Board of India) were to consider Ahli and Chang as part of the promoter group, it would mean that the Adani Group firms flouted laws aimed at preventing artificial inflation of share prices. As per Indian laws, promoters can hold only a maximum of 75 per cent shares in listed companies, and the remaining 25 per cent should be made available to the public for trading as free float. The key question is whether this law has been breached. The Adani Group, however, has denied the allegations, saying they were "recycled". "These news reports appear to be yet another concerted bid by (George) Soros-funded interests and supported by a section of the foreign media to revive the meritless Hindenburg report," the group said in a media statement on August 31. Soros is a Hungarian-born American financier.

On January 24, New York-based short-seller Hindenburg Research had come out with a sensational report that levelled a series of allegations against the Adani Group, including stock market manipulation and accounting fraud. Hindenburg had accused the conglomerate of a "brazen stock manipulation and accounting fraud scheme over the course of decades". The report named a

A SLEW OF CHARGES

The allegations made by the Organised Crime and Corruption Reporting Project

- The organisation has claimed access to documents that allegedly show how hundreds of millions of dollars were invested in Adani stocks via opaque Mauritius-based investment funds
- In at least two cases—representing Adani stock holdings that at one point touched $430 million—the mysterious investors turned out to have ties with the Adani family
- Nasser Ali Shaban Ahli and Chang Chung-Ling, the two investors, have long-time business connections with the family and have served as directors and shareholders in Adani companies and firms associated with Vinod Adani
- Documents allegedly show that two Mauritius-based funds—Emerging India Focus Fund and the EM Resurgent Fund—had invested and traded in large volumes of shares of four Adani companies between 2013 and 2018
- Through these offshore firms, Ahli and Chang spent years buying and selling Adani stock via offshore structures that obscured their involvement—and made considerable profits in the process

THE ADANI GROUP HAS CALLED THE REPORTS 'YET ANOTHER CONCERTED BID BY SOROS-FUNDED INTERESTS...TO REVIVE THE MERITLESS HINDENBURG REPORT'